Topic 4A - Cash Flow Statements - Solutions

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3 Cash Flow Statements are produced for various reasons including:

- A company needs to hold enough cash to pay its Creditors (Trade Payables) and to meet its day to day running costs.
- It should not hold too much cash, as it would not then be making the best use of its resources.
- A clear statement of a company's cash flow position allows shareholders to check whether the company is being run efficiently (i.e. not holding too much cash) as well as checking on solvency (i.e. holding too little cash).
- Cash is often more important than accounting profitability in determining whether a firm can survive in the short run (liquidity / solvency).
- It is much more difficult to distort or misinterpret movements of cash than some other accounting entries.
- Cash flow statements look at the actual cash received or paid out for the year. The cash generated figure is then broken down to show how the money was used.

4 <u>Yu Ltd</u>

It is clear from the cash flow statement that the company has had a major outflow of cash during the year.

The cash flow statement enables us to expand on this.

The following facts are worth noting:

- Cash flows from operating activities exceed operating profit. The company can clearly generate cash as well as profits from its activities.
- The company has made major investments in fixed assets. This will, hopefully, generate additional profits (and cash) in the future.
- The company has raised cash by issuing shares, but has used all of this, plus some cash from operating activities, to repay a large portion of its long term loans.
- The company still has a substantial cash balance at the year end.

Overall, Yu Ltd appears to have managed its cash effectively during the year. The cash outflow appears to be the result of a series of sensible business decisions.

5 B Ltd

The company will run out of cash in month 4. If it can survive this period it will return to a positive balance by month 12. This means that it might be possible to resolve this difficulty by advancing any receipts and delaying any payments for which there is any discretion.

- If customers could be persuaded to pay in one month that would inject a month's sales into the bank.
- Purchasing in smaller batches would provide a net inflow, although it could cost the company discount for bulk orders.
- The reason for the steady increase in inventory by the year end should be investigated. If there is a need for this increase then the company should consider manufacturing in bulk nearer to the time that the inventory is required, thus keeping cash in the bank until then.
- Some of the additions to non-current assets could be postponed.
- The dividend to shareholders should be delayed if possible.
- The investment that will bring in the dividend of £45,000 might be sold.

Each of the above could be expensive. However, the company will fail if it cannot bring its cash flow under control.